

An Analysis of the Post-Console Wars Gaming Industry

Introduction

Reason for study

This research was primarily spurred by three factors:

1. The recent layoffs in Xbox and Microsoft first piqued my interest in the topic,
2. I needed to write and present a comparison piece “between two companies – one that is failing to adapt and one that has succeeded because it has adapted” for an interview,
3. I have previously been a part of this culture in so far as I grew up with a PlayStation in a time where this topic was spoken about ad nauseum.

Each of these factors introduces their own kind of bias but I have done my best to limit the effects of this in my writing and my research. Most of what I lay out in this document is not opinion but simply aggregated data from veritable sources that I have provided below.

Methodology

My original goal in this project was to create a comparison piece between Xbox and PlayStation, something of a follow up years after the console wars faded out of relevance. During this analysis, however, the scope expanded. This was primarily because, to understand the story of the PlayStation and Xbox especially over the course of the past decade, you must also understand the effects of COVID on the gaming industry, the rise of streaming platforms and the movement away from console gaming altogether.

Use of AI in this project: Claude was used to gather a list of sources that could then be used in analysis but was not involved in pulling any figures from these sites or in interpreting the data itself. Claude was also used to generate python code that would be used to create graphs based on the data. AI in this project was exclusively a tool for speeding up discovery under tense time pressure, not for decision making.

How to use this document and basic information

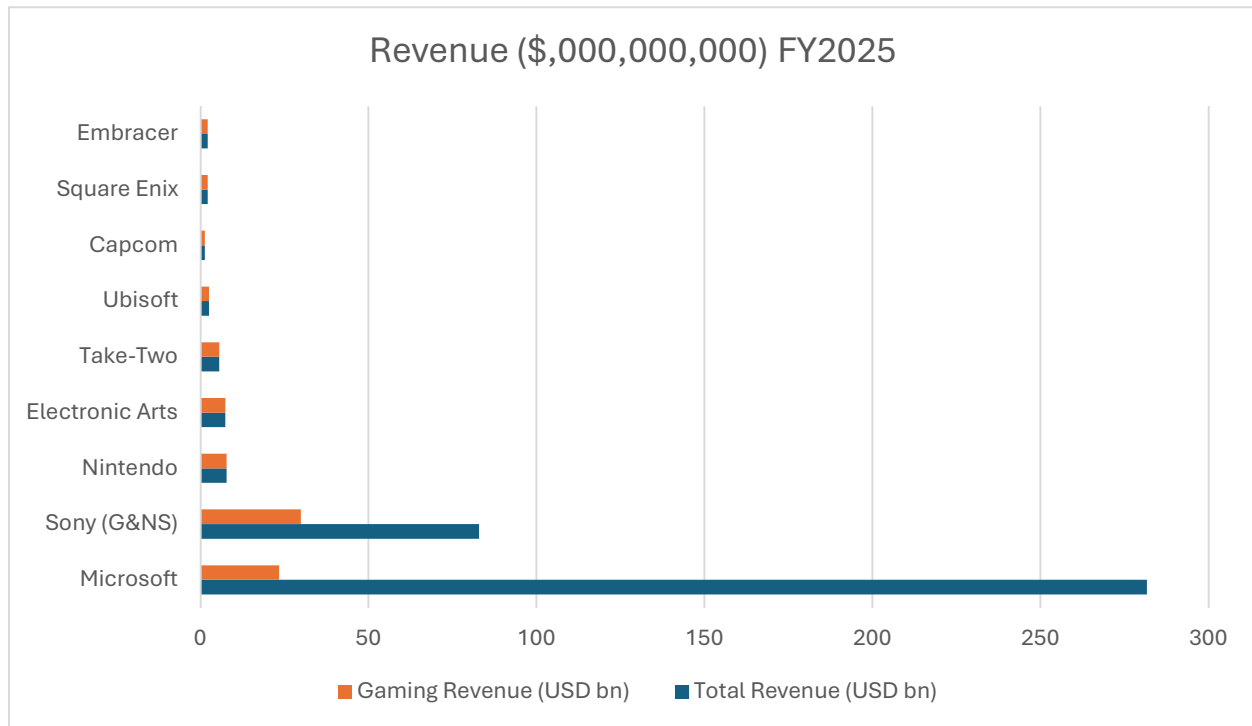
After every graph, table or claim I make, I will list a number that will direct you to a source at the bottom of this document should you wish to corroborate any of my claims or simply learn more on the topic.

Basic information that is necessary for interacting with the text is listed overleaf:

- In this document a “generation” refers to a group of consoles that released at roughly the same time that define gaming for that period
- Sony manufactures PlayStation and has been producing gaming consoles since the 5th generation
- Microsoft manufactures Xbox and has been producing gaming consoles since the 6th generation
- Nintendo manufactures both Nintendo and Wii consoles and has been producing these since the 6th generation

Overview

Gaming Industry by company

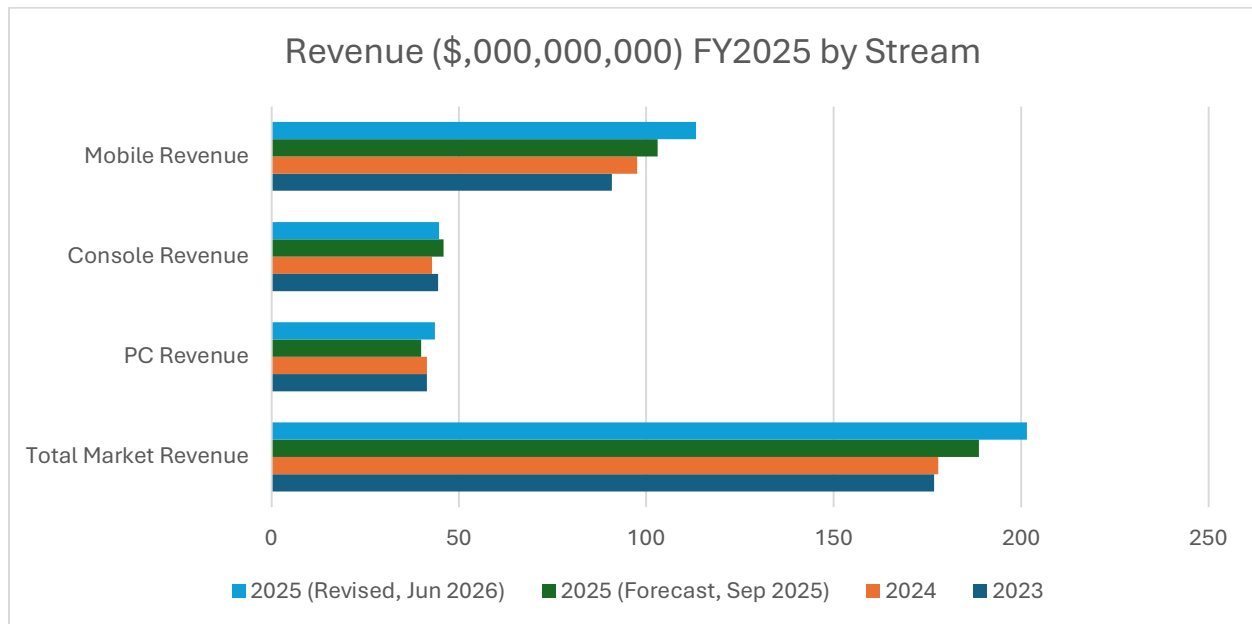


Above is a breakdown of the revenue earned by a collection of gaming companies in the financial year 2025. Some companies have been excluded from this list that will be discussed later but this graph paints a very clear image: Sony and Microsoft by far lead the gaming industry in the modern day. Not only do they outstrip their closest competitors by 2-4x in terms of gaming revenue, but they are also the only companies to have most of their income come from other operations.

You could speculate that this broader market reach and larger capital give them a steady advantage against their competition, perhaps somewhat explaining their lead. This, however, is contradicted by the fact that Microsoft itself almost quadruples Sony's total revenue and yet is bested in the gaming industry. This isn't nearly enough data to base any conclusions on alone, but it provides us with a good line of analysis to pursue:

- Are we correct that Microsoft has a weaker hold on the gaming industry than Sony?
- If so, why is this the case when Microsoft has more resources to pull from?

Gaming Industry by device



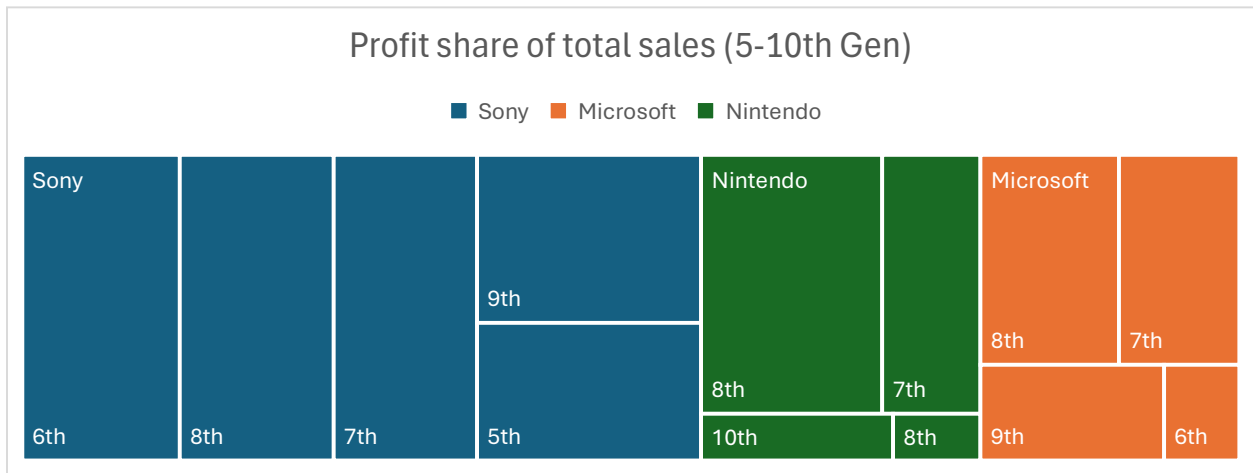
Above is a breakdown of how revenue streams have changed across the gaming industry (given the same companies as before) since 2023.

Note: These figures aren't adjusted for inflation, meaning that where you see stagnation in Console and PC revenue, that represents a net decrease in real revenue.

The only area where we see consistent growth is Mobile revenue, which has grown by ~30% (which represents a 14% increase in the total market). Once more, this alone doesn't provide us with much information as to why two console producers might differ in the effectiveness of their strategies, but it does make evident that the gaming market has shifted in recent years. Not only this, but it has explicitly shifted away from the types of revenue streams Sony and Microsoft nominally rely on.

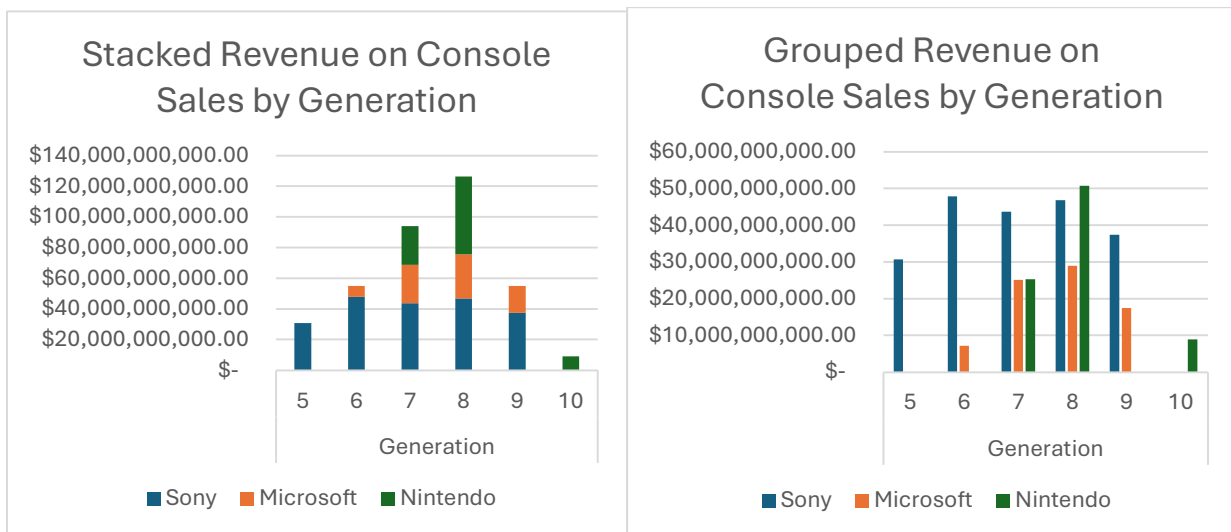
We can assume then – and we'll back this up with further analysis – that recent years have been difficult on these companies. It's worthwhile, then, to check how Sony and Microsoft's income has changed recently.

Profit share by generation of the big three



The graph above shows a couple of things:

1. Sony has a clear lead in profit share over these generations. This is partially because it entered the market earlier but even only looking at Gen 6 and onwards, in terms of profit made on consoles, Sony leads heavily. This means that, if there is a difference in strategy, brand appeal or simply marketability between themselves and Microsoft on this front, it likely isn't anything new.
2. Despite Nintendo lagging in total gaming revenue as seen previously, it is neck and neck here with Microsoft. This implies that Microsoft has other revenue streams in the same umbrella in which it out scales Nintendo. This could be game sales, subscription services or a variety of other causes but it's worth looking into.



Better exemplified here is a third point: money generated on console sales has flagged significantly in the 9th generation. This is partially due to the absence of a Nintendo release

but Sony and Microsoft's collective earnings from console sales have dropped back to 6th generation levels. This affirms our prior assumption that the gaming industry has changed in a way that is unfavorable to these companies. It seems evident there has been a shift from console gaming in the past few years. It remains to find why this is and how Sony and Microsoft have responded to it – if they have responded differently, this could explain some of the discrepancy in their returns.

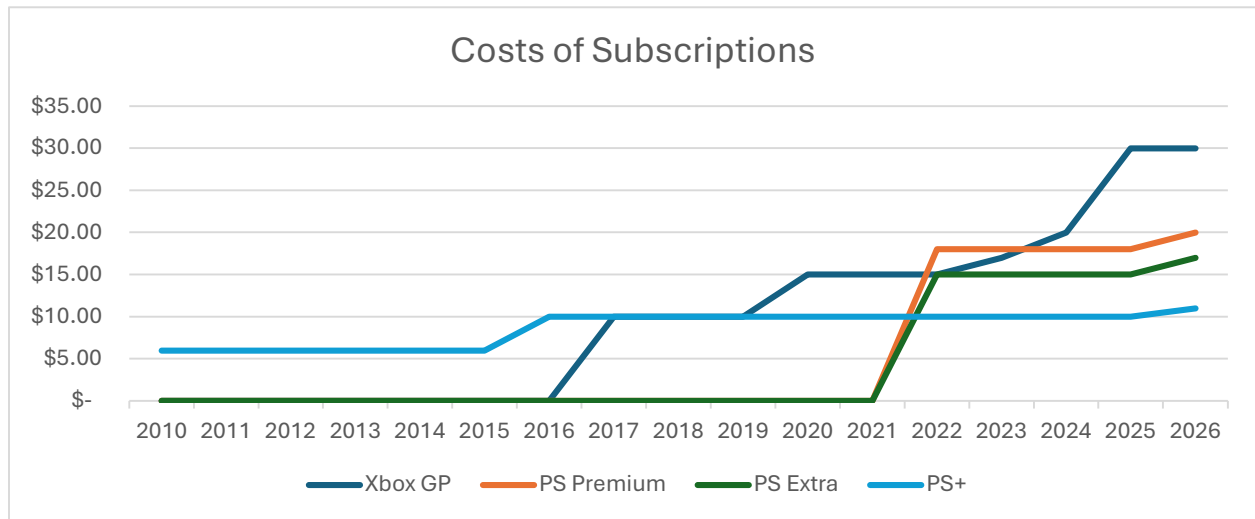
Similarly, these graphs show that, whilst we were correct that Sony has always led Microsoft in this field, Microsoft has fared much worse under the shifting market (losing ~38% of console revenue from Generations 8-9 as compared to Sony's ~16%).

We will ignore the figures for generation 10 as it is considered to still be ongoing.

With Microsoft's additional resources, Sony and Microsoft's gaming divisions functioning in the same space and impacted by the same factors and the consistent trend of Microsoft underperforming, it's safe to assume the gap must be explained by differences in strategy.

Day-to-day strategy

Subscription services

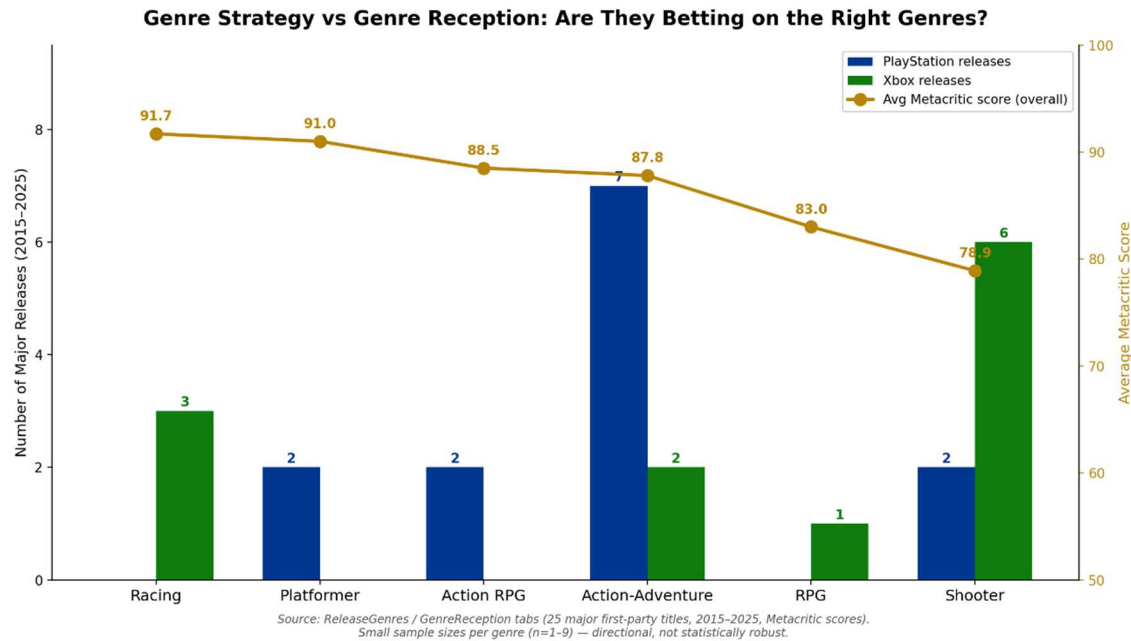


Both companies offer a subscription service (with PS's PS+ split into three levels based on price), the prices of which have clearly been impacted by one another through history (with Xbox GP originally set to match PS+ and PS Extra set to match Xbox GP on first release).

Xbox's subscription service started later (at least partially) because of entering the industry later, but it should be noticed that, almost the entire time Xbox GP has run, it has cost more than any PlayStation subscription service.

Whilst this, on its own, doesn't tell us much about our initial question, it does show a remarkable difference in strategy between the two companies, validating our earlier thoughts.

Major releases and Reception

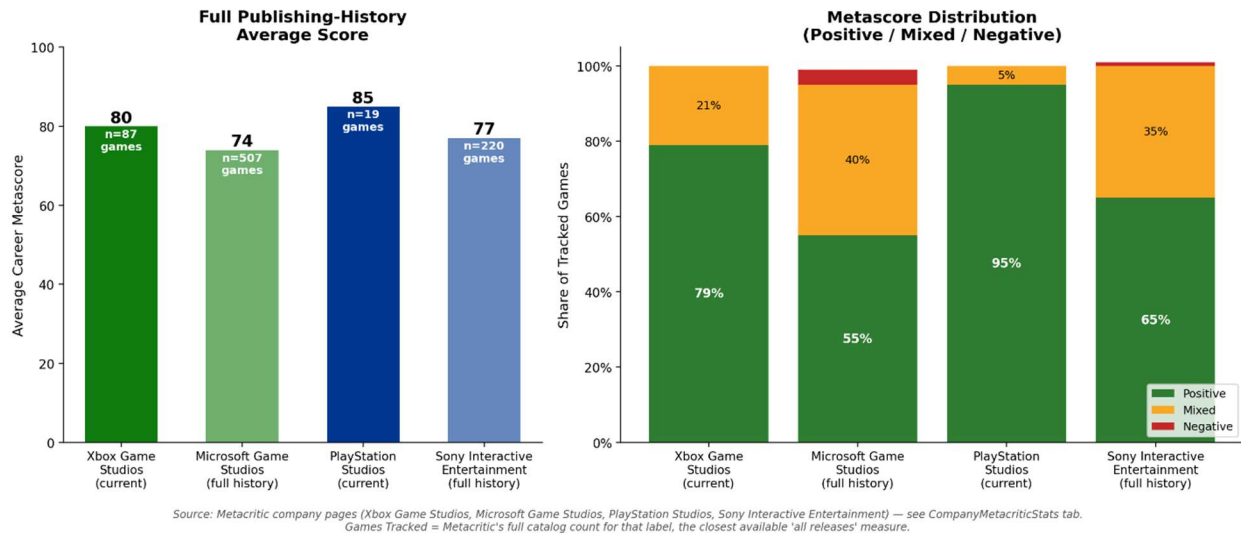


Note: This is an area of analysis I would pursue further given more time. I believe seeing a much more populated version of this graph would be incredibly worthwhile. This version of the graph was produced under limited time and without the tools necessary to scrape this information at very large scales.

Here, we have a list of each company's most reviewed game listed by genre with general player sentiment towards that genre overlayed. This dataset is too small to make definite claims on, but it tells a very clear story:

1. Xbox and PlayStation cater to different audiences with little overlap in their major genres (at least at the top level of games they produce)
2. On average, PlayStation releases games that are more receptive to customer sentiment than Xbox (with their entries leaning closer to the side of higher Metacritic scores)

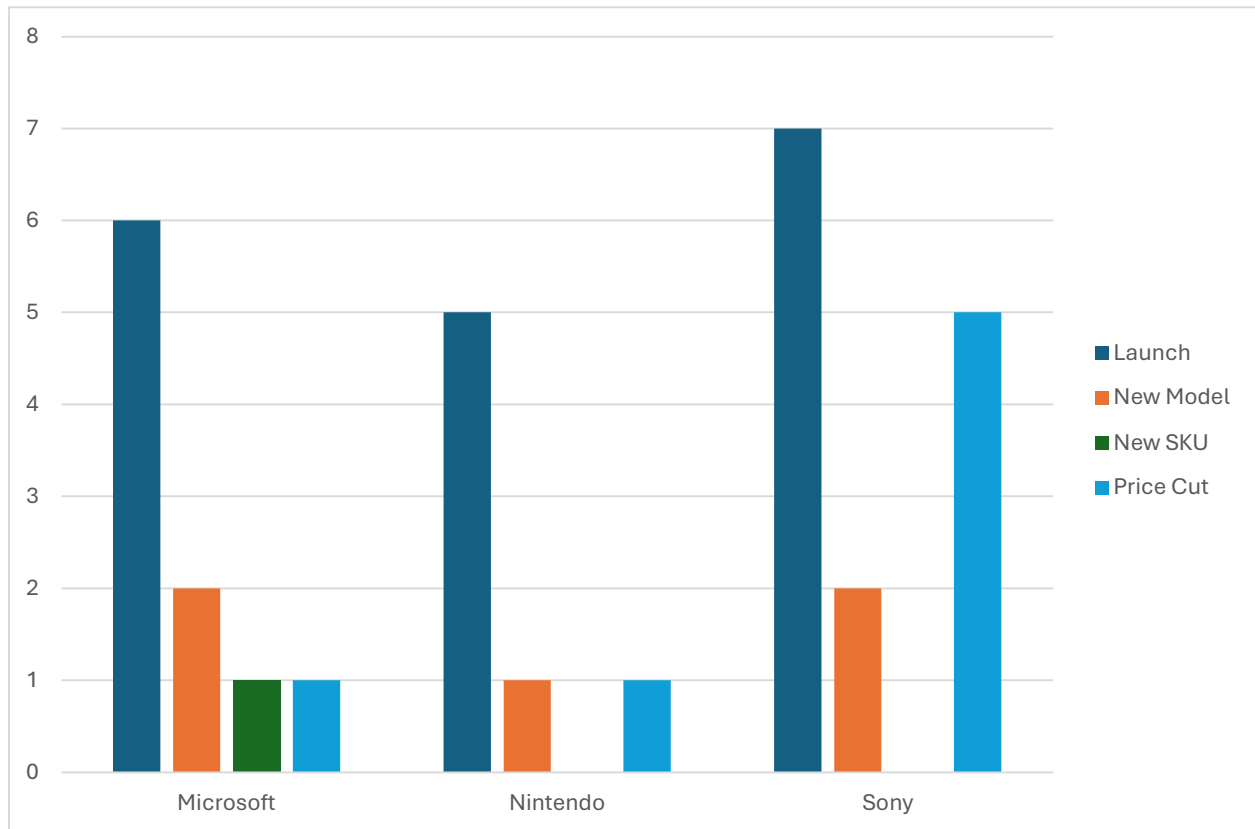
Every Tracked Release, Not Just the Highlights: Full Catalog Reception



This graph continues the story at a larger scale, though, unfortunately, loses some of the nuance. We can see here that, while Microsoft and Xbox produce vastly more games than PlayStation and Sony, PlayStation gets better average reviews. This is our first real hint at an answer to our question: it can be interpreted that Sony make more money because they produce fewer, higher quality games.

Larger strategy

Console Launches



Here, we see that, whilst Sony and Microsoft release similar numbers of consoles, Sony focuses much heavier on price cuts. There are a variety of stated reasons for the price cuts Sony does for their consoles and this alone doesn't mean much but, with the prior information, it begins to paint a bigger picture:

Xbox charges more on their subscription service

Xbox produces vastly more but lower rated games

Xbox doesn't make their consoles more available after opening rush dies down

The data we've collected begins to depict the biggest difference in strategy between PlayStation and Xbox as its receptivity to its customers. Xbox appears to participate in practices that (though not necessarily unique to them) make their service seem lower quality whilst raising the barrier to entry.

Acquisitions

There is another part to the story however:

Both Microsoft and Sony have had major acquisitions during the past decade, but Microsoft has used its weight to massively overextend here.

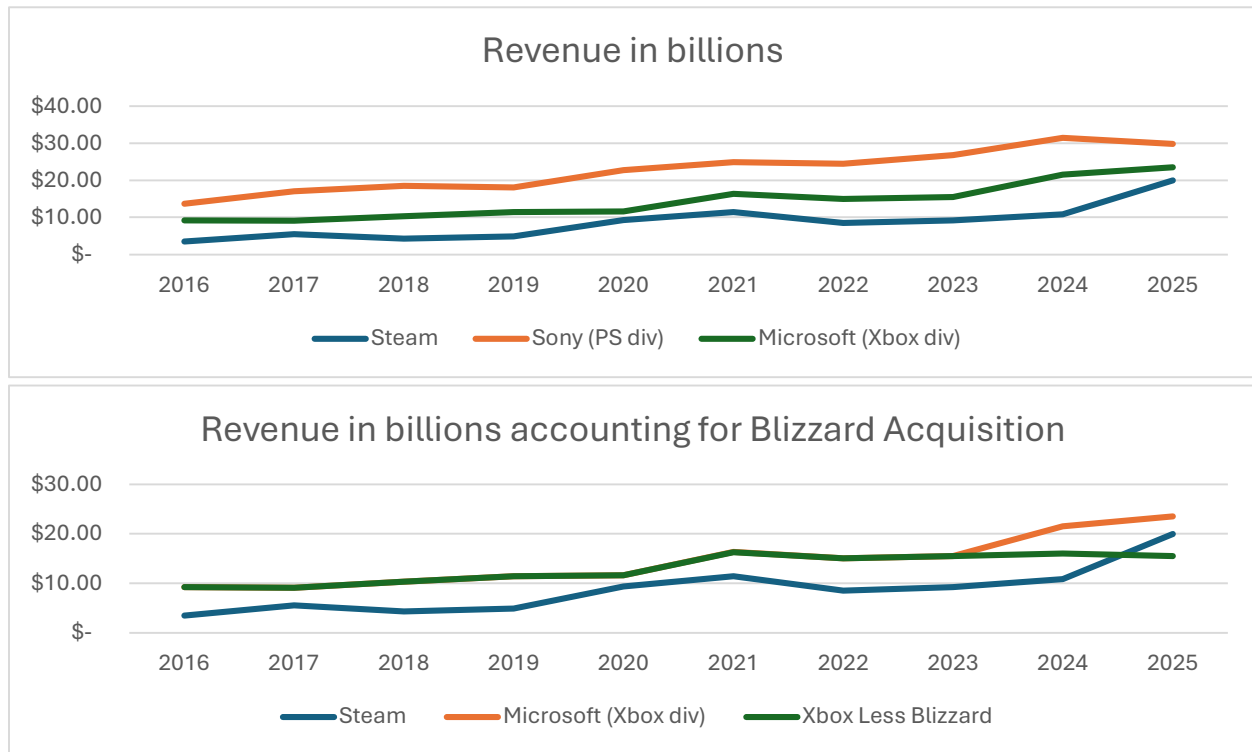
Sony has had 2 major acquisitions: Bungie for \$3.6b and Haven Studios for an undisclosed amount.

Microsoft has had 3 major acquisitions: Mojang for \$2.5b, Zenimax Media for \$7.5b and Activision Blizzard for \$68.7b. The last of which massively outweighs any other known acquisition.

This, in a vacuum, doesn't say much but, in this market, acquired companies/studios almost always last only 1-3 years. These acquisitions have gone on to define the company but closures of major studios and price hikes in the services Xbox offers have, in turn, drawn major media backlash.

Death Knell – The rise of St(r)eam

Revenue & Real Growth

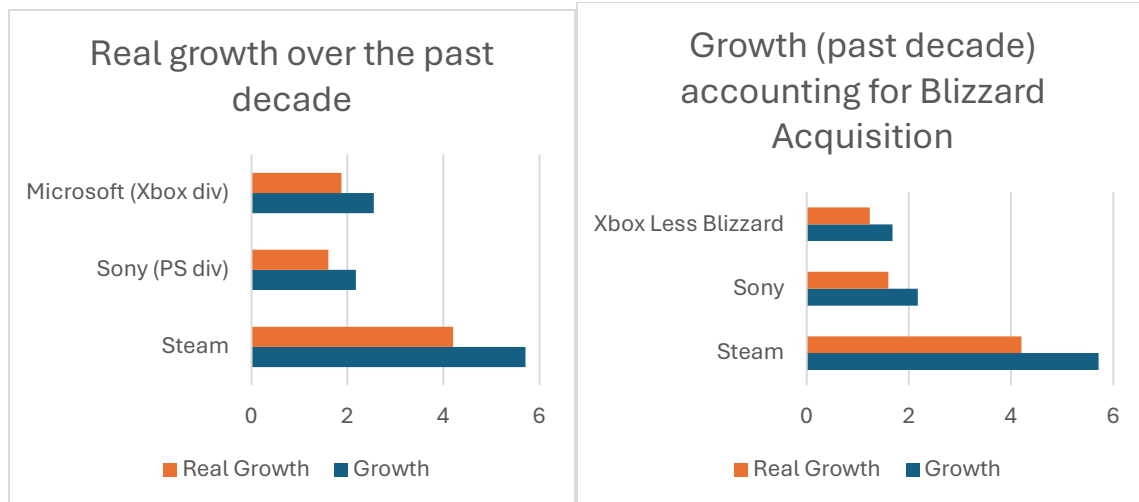


Previously in this document I've mentioned excluding specific companies for discussion later. That company was Steam.

Once Steam is factored in, the story makes much more sense. We've understood previously that shifts have occurred against console gaming in previous years; this is in large part due to streaming. For the average person, streaming or buying your games without the need for a console or a game disk is infinitely preferable and quite a bit cheaper. This, combined with postage shortages during the COVID era, lead to platforms like Steam taking off.

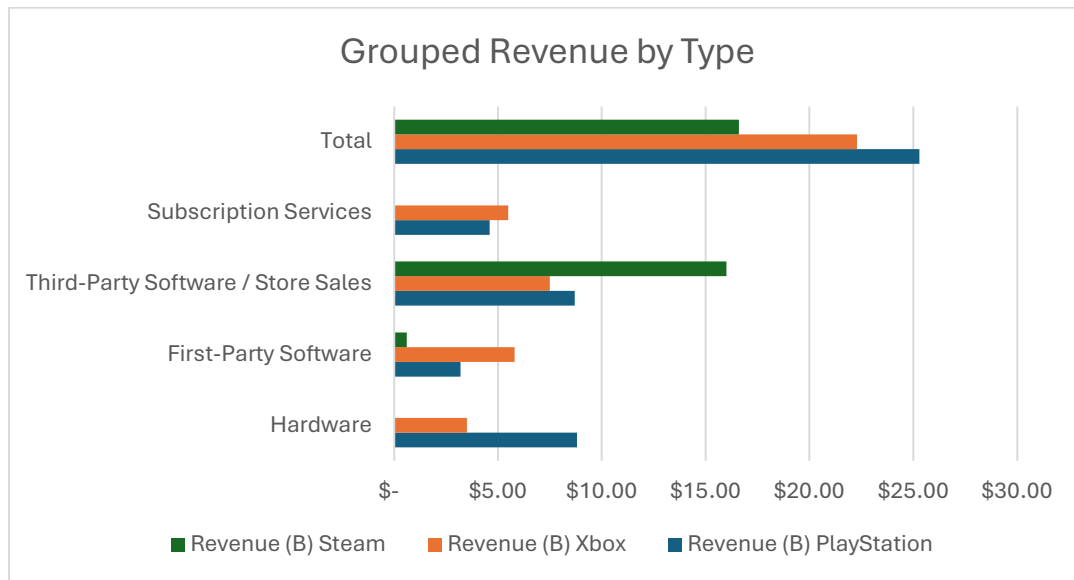
The first graph above shows Steam's revenue as compared to PS's and Xbox's over a 10-year period. Whilst Steam is gaining fast (more than quadrupling its revenue at that time) it seems it is still only closing in on our main focuses. This is, however, an illusion in Xbox's case. Xbox's valuation is currently largely inflated due to the Blizzard acquisition (accounting for \$5b of its valuation in 2024 and \$7.5b in 2025). Accounting for this, Steam has already overtaken Xbox as shown in the second graph.

The below cements this:

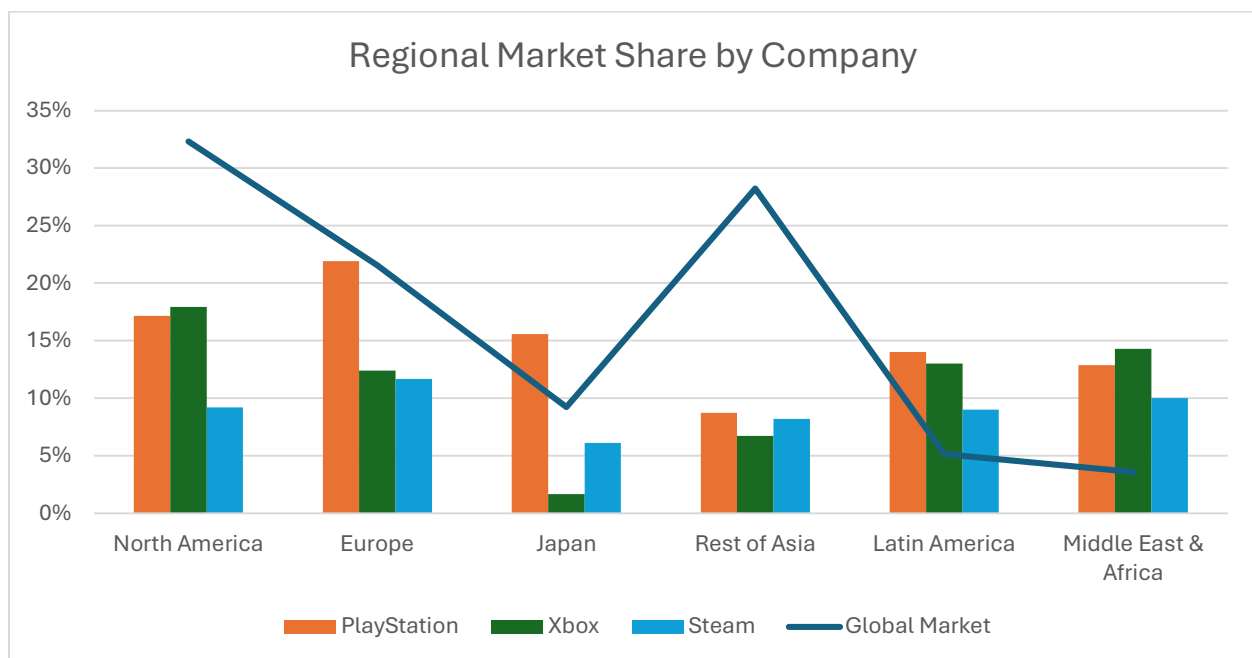


In real terms, Xbox and PlayStation have barely grown over the past decade (90% and 70% respectively) in comparison to Steam, which has grown by over 300%.

Market Share



As seen above, the methods of income that PlayStation and Xbox used to rely on no longer lead the market. Steam is, comparatively, far more specialized in the service it provides but it manages to earn so much from store sales it almost completely offsets its lack of physical products and (assuming even much weaker than current growth) they soon stand to overtake Xbox and PlayStation completely.



The final point I'd like to make is about the reach of each of these companies. Xbox is widely known to have had issues spreading outside of the US and this is shown very clearly

above, with PlayStation leading in all but the US and the Middle East & Africa (the smallest market) by up to 14% margins.

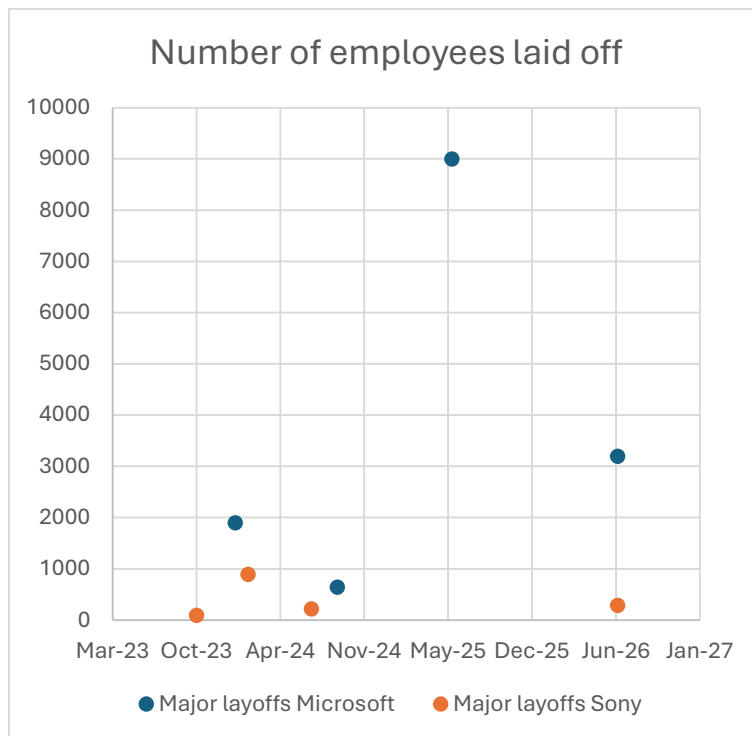
Arguably even more noticeable however is the consistence with which Steam is slowly swallowing the market. Its lack of reliance on physical infrastructure and open applications process for posting games makes crossing country borders far easier compared to its competitors so it's able to gain a hold of the gaming industry across the globe. This is to the point that not only do most (even very popular) PS and Xbox games now get released on Steam, but they often make more money there on release than on console.

Conclusion

The gaming industry has seen very big shifts over recent years in its relationship with its customers and this has greatly tested company's ability to adapt. Whilst both PlayStation and Xbox have seen a decline in use and revenue, PlayStation has undoubtedly handled the situation better.

Xbox is held down by its inability to adapt to its customers preferences, its demographic, its inability to target non-American markets and its unwillingness to lower costs on consoles. Every turn, despite Microsoft's obvious weight behind it, Xbox proves unable to adapt to the challenges it faces. In an easier market, this may not have mattered, but, with the rise of streaming and the shift away from games as physical assets, Xbox is unable to remain a serious competitor.

This shows in the recent company layoffs:



Over the past three years, Sony and Microsoft have each announced 4 major layoffs but Microsoft's affect over 15,000 employees, as compared to Sony's 1,500.

Sources